📄 Contract Analysis Results

NON-DISCLOSURE_AGREEMENT.txt

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Overall Assessment: FAVORABLE

📋 Key Terms

Disclosing Party: TechCorp Industries, Inc. (represented by CEO Sarah Johnson)

Receiving Party: John Smith (individual) Contract Duration:

Initial Term: 10 years from November 7, 2025

Extension: "shall continue indefinitely thereafter unless terminated by Disclosing Party with ninety (90) days written notice"

Critical Issue: Only the Disclosing Party can terminate; Receiving Party has no termination rights Payment Terms:

None specified (unusual for such extensive obligations) Deliverables/Obligations:

Receiving Party: Maintain confidentiality, return materials, assign all work product, comply with non-compete

Disclosing Party: No reciprocal obligations listed Termination Conditions:

Only Disclosing Party can terminate with 90 days written notice

No termination rights granted to Receiving Party

No breach-based termination clauses Renewal Terms:

⚠️ Risk Analysis

HIGH

Automatic indefinite renewal unless Disclosing Party terminates ### HIGH RISKS 1. Overly Broad Work Product Assignment (Section 4)

RISK

Risk Level: HIGH

RISK

Quote: "All work product, ideas, concepts, improvements, or inventions created by Receiving Party during the term of this Agreement, whether or not related to Confidential Information, shall be the sole and exclusive property of Disclosing Party."

RISK

Analysis: This clause assigns ALL intellectual property created during the 10+ year term, even personal projects unrelated to the business relationship. This is likely unenforceable and extremely unfair. 2. Excessive Non-Compete Restriction (Section 5)

RISK

Risk Level: HIGH

RISK

Quote: "Receiving Party agrees that for a period of five (5) years following the termination of this Agreement, Receiving Party shall not, directly or indirectly, engage in any business that competes with Disclosing Party in any geographic area where Disclosing Party conducts business."

RISK

Analysis: 5-year global non-compete is likely unenforceable in most jurisdictions and could prevent the Receiving Party from earning a living. 3. Unlimited Damages Exposure (Section 6)

RISK

Risk Level: HIGH

RISK

Quote: "Disclosing Party shall be entitled to seek injunctive relief and any other remedies available at law or in equity, including unlimited damages."

RISK

Analysis: No cap on financial exposure for breaches, creating potentially catastrophic

financial risk. 4. Unilateral Amendment Rights (Section 9)

RISK

Risk Level: HIGH

💡 Negotiation Points

Quote: "This Agreement may be amended only by Disclosing Party in writing. Receiving Party's continued performance under this Agreement shall constitute acceptance of any amendments." ### MEDIUM RISKS 5. Excessive Contract Duration (Section 3)

Risk Level: MEDIUM

Quote: "This Agreement shall remain in effect for a period of ten (10) years from the date of execution and shall continue indefinitely thereafter"

Analysis: 10+ years is unusually long for an NDA, especially for preliminary business discussions. 6. One-Sided Termination Rights (Section 3)

Risk Level: MEDIUM

Analysis: Only Disclosing Party can terminate, leaving Receiving Party bound indefinitely. ### LOW RISKS 7. Standard Confidentiality Provisions (Sections 1-2)

Risk Level: LOW

Analysis: The core confidentiality obligations are reasonable and standard. Overall Assessment: EXTREMELY UNFAVORABLE Reasoning: This contract is heavily one-sided and contains several potentially unenforceable provisions that heavily favor TechCorp Industries. The agreement appears to be a standard NDA but includes provisions (work product assignment, non-compete, unlimited damages) that go far beyond normal confidentiality protection. The lack of mutual obligations, unilateral amendment rights, and excessive duration create an unconscionable imbalance of power and risk. ### 1. Limit Work Product Assignment Scope Ask For: Restrict work product assignment to only inventions directly derived from Confidential Information Proposed Language: "Work product directly derived from and incorporating Confidential Information disclosed by TechCorp shall be owned by Disclosing Party. All other work product shall remain the property of Receiving Party." Why This Matters: Prevents TechCorp from claiming ownership of unrelated personal or professional work. ### 2. Reduce Contract Duration and Add Mutual Termination Ask For: 2-3 year maximum term with mutual termination rights Proposed Language: "This Agreement shall remain in effect for three (3) years and may be terminated by either party with thirty (30) days written notice." Why This Matters: Standard NDAs rarely exceed 5 years; mutual termination provides essential exit strategy. ### 3. Eliminate or Significantly Limit Non-Compete Ask For: Remove non-compete entirely or limit to 6-12 months for direct competitors only Proposed Language: "For twelve (12) months following termination, Receiving Party shall not directly solicit TechCorp's customers using Confidential Information." Why This Matters: Preserves right to earn a living while protecting legitimate business interests. ### 4. Cap Damages and Require Mutual Amendment Rights Ask For: Reasonable damages cap and mutual consent for amendments Proposed Language: "Damages for breach shall not exceed $50,000. This Agreement may only be amended by mutual written consent of both parties." Why This Matters: Provides financial protection and prevents unilateral contract changes. ### 5. Add Standard Exceptions to Confidentiality Ask For: Include standard exceptions for publicly available information, independently developed information, etc. Proposed Language: "Confidential Information excludes information that: (a) is publicly available, (b) was known prior to disclosure, (c) is independently developed, or (d) is required to be disclosed by law." Why This Matters: Prevents overreach in confidentiality obligations and aligns with industry standards. ## RECOMMENDATION

Full Analysis

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